

When You Can't Pay Your Taxes

It's a disturbing moment when you finish your tax return and realize you owe additional tax and don't have the money to pay it. Don't compound the problem by filing your tax return late. File by the due date or file for an extension even if you can't pay the tax due. Penalties for late filing can add up to 25 percent to your tax bill.

You have a number of options for coming up with the cash later. Try to take out a bank loan for the amount you owe. The interest rate is usually lower than the rate charged by the IRS. If that doesn't work, consider using your credit card or applying for a new card with a low introductory rate and paying the balance off before the rate goes up.

Your first step should be to request an extension of time to pay from the IRS. It is the most economical way to delay your payments—less expensive than an installment loan with the IRS. You can usually find out immediately (online) whether or not you qualify for this program.

Another option is to request an installment agreement with the IRS by completing Form 9465, Installment Agreement Request, and attaching it to your return. You can also make your request online at www.irs.gov. State the amount you can pay monthly toward your tax debt. If your request is approved, you'll have to pay interest at up to 0.5 percent per month, and you may have to pay additional penalties.

Your last resort is the Offer in Compromise program. You can make an offer to the IRS and see if they'll accept it. Your odds of success here are very slim—the IRS will grant your request only if your financial situation suggests that the IRS can never collect from you. You'll also have to pay a fee and submit a portion of your proposed settlement amount up front.

Be Prepared in the Future

To ensure that this doesn't happen to you again, review your withholding every year and make sure you're having enough taken out to cover your income. If you receive income that taxes weren't withheld from, make